

Transition from Feudalism to Capitalism

Course Code: 405

Introduction

The economic base of feudal Europe was essentially agricultural. Agriculture also formed the social hierarchy. However, an increase in agricultural productivity formed the original impetus for a series of social changes that led to dissolution of feudalism and emergence of capitalism. The present narrative intends to establish this proposition.

Brief overview of Feudalism and Capitalism

Before we explain the transition process from feudalism to capitalism, a bird's eye view on the two modes of production is necessary.

The basis of relation of production in feudal Europe was large scale feudal property in land and the personal dependence of peasants (serfs) on feudal lords. The feudal lords were dominated by king (territorial chief) who distributed the fief land to them. [B. Onimode, 1985]

On the other hand, Capitalism is a social mode of production based on private ownership of the means of production and the exploitation of wage workers. A capitalist society is expected to be industrial. [Progren, 1985].

Thus there is a distinction between feudalism and capitalism.

The relative economic independence of the peasants, which was consolidated in the early Middle Ages, led to the growth of productive forces, and at first to progress in agriculture, which made a highway towards capitalism. [Southgate, 1970]

Fig 1 will be here.

Now we explain how this transition process occurred.

Transition from Feudal to Capitalism in Western Europe

1. Changes in Technology: The most important technological advance in the middle Ages was the replacement of the two-field system of crop rotation with the three-field system.

With the new system, arable land was divided into three equal fields. Rye or winter wheat would be planted in the first part; oats, bean or peas would be planted in the spring in the second; and the third would lie fallow. In each subsequent year there was a rotation of these positions such a slight change in technology dramatically increased agricultural productivity at about over 50% than the previous two field system [White, 1962]

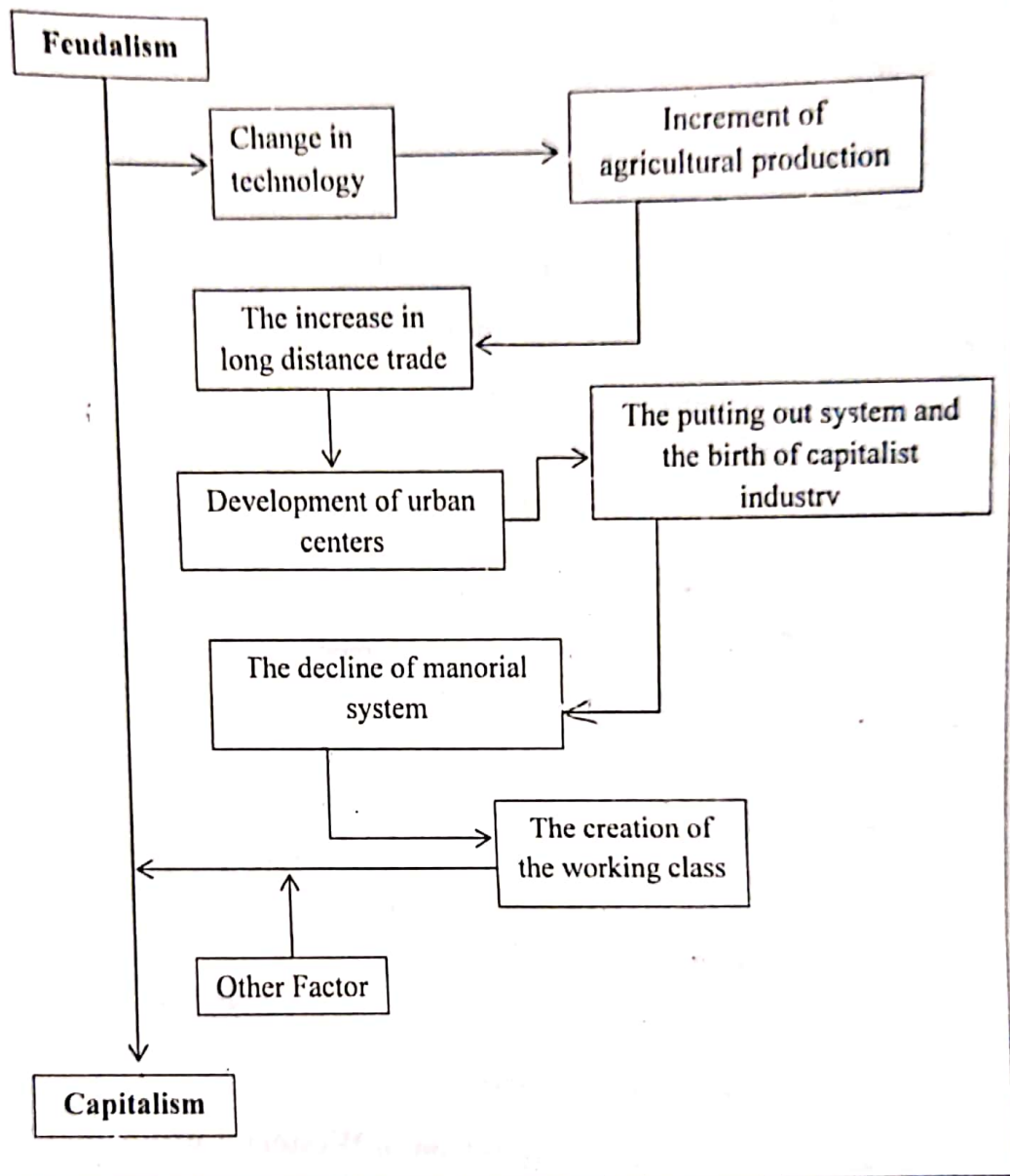


Figure 1: Flow chart of the transition process from feudalism to capitalism in Western Europe.

Spring sowing of oats and other fodder crops enable people to support more horses which began to replace oxen as the principal source of power in agriculture and transportation. Horses were much faster than oxen. Consequently, the area under cultivation increased and in respect to development of transportation four wheeled wagon with a pivoted front axle replaced the two wheeled cart. These improvements in agriculture and transportation resulted in a rapid increase in population growth, and urban concentration. (The best historical estimates are that the

population of Europe doubled between 1000 and 1300 AD. [Miskin, 1960]) The growth of towns and cities led to a growth of rural-urban specialization. With rural workers engaged to soil and the urban workers increased the output of manufactured goods. This specialization formed the basis for long distance trade.

2. The Increase in Long-Distance Trade: Many historians have argued that the spread of trade and commerce was the single most important force leading to the disintegration of the medieval society.

The growth of agricultural productivity meant that a surplus of food and handicrafts was available for local and international markets. The improvement in power and transportation meant that it was possible and profitable to concentrate industry in towns, to produce on a mass scale, and to sell the goods over a widespread, long-distance market.

From the earliest part of the medieval periods, some long-distance trade had been carried on through many parts of Europe and with the Arabs in south and Vikings in the north.

The expansion of trade led to the establishment of commercial and industrial towns that serviced the trade. But at first, long-distance trade was serviced through fairs of short-period, which might be held by the side of river [Dillard, 1967].

By the fifteenth century, the fairs were being replaced by commercial cities where year round markets thrived and then these commercial centers became successful in gaining freedom from feudal customs and tradition and also independence from the Church and feudal lords. Within these commercial centers, there arose the system of currency exchange, debt clearing and modern business instruments. Under this system an impersonal relationship developed between economic agents, whereas in the manorial handicraft industry the producer was also the seller.

3. The Putting out system and the Birth of Capitalist Industry: As trade and commerce thrived and expanded the need for more manufactured goods and greater reliability to supply led to increasing control of the productive process by the merchant-capitalist. By the sixteenth century, the handicraft type of industry, in which the craftsmen owned his workshop, tools and raw materials and functioned independently, had been largely replaced in the exporting industries by the putting-out system. This happened in two ways.

1. Some craftsmen become master and wealthy and other craftsmen were deprived of means of production and become wage workers.

2. At first, merchant had played the role of middleman in exchange of commodities. Then they become buyer and buying the commodities produced and reselling them at more distant market for profits and also used to lend money and materials to craftsmen and required them to make specific item for a certain payments. As a result craftsmen finally become wage workers and the merchants become capitalist and industrialist [Kozlov, 1980]

The textile industries were among the first in which the putting out system developed. The putting out system also hit the economic self-sufficiency of the feudal manor. Agriculture had to become a capitalistic venture in which workers would sell their labor power to capitalists, and capitalists would buy labor only if they expected to make a profit in this process [Dobb, 1946].

4. The Decline of the Manorial System: Before a complete system of capitalism could emerge, the forces of capitalist market relations had to invade the rural manor and thus the agricultural base of the feudal society. This was accomplished as a result of the vast increase of population in the new trading cities. Large urban populations depended on the rural country side for food and raw materials for industries. This need fostered a rural-urban specialization. The lords of the manor began to depend on the cities for manufactured and luxury goods. This need fostered a rural-urban specialization.

The peasants of the manor also found that they could exchange surpluses for money, and the money could be used to purchase commutation of their labor services. This system gave peasants a higher incentive to produce, so they do so, which gradually breaking down the traditional ties of the manor.

Again, the lords who needed cash to exchange manufactured goods, began to rent their own lands to peasants farmers rather than have them farmed directly with labor service obligations. In this process, feudal lords become absentee land lord by moving themselves toward the towns.

There are also many other factors for breaking up manorial system in the late 14th and 15th centuries. Some important factors are: The Hundred year's war between France and England

(1337-1453), Plague of 1348-1349 etc. All these crises create a labor shortage and so the wage of labor rose abruptly.

These facts led the feudal nobility to attempt to revoke the commutations they had granted and to re-establish the labor service obligations of the serfs and peasants. But the outcome is that, the clock could not be turned back. [E.K. Hunt, 1990]

5. The Creation of the Working Class: the early 16th century is a watershed in European history. After 1500, a number of social and economic changes occurred, each reinforcing the other and together ushering in the system of capitalism. Among them, the most important of these changes were creating of a working class that was stripped of any control over the production process and forced into a situation in which the sale of its labor power was its only means of survival. This was instigated by feudal nobility by enclosing lands that had formerly been used for communal grazing, using the lands to graze sheep to satisfy the booming English wool and textile industries.

The enclosures and the increasing population further destroyed the remaining feudal ties, creating a new labor force- a labor without land, tool and any means of production other than the labor power to sell.

Again as a result of depression, many workers were uprooted and they become vagabonds and beggars. Even more attempted to secure subsistence by squatting on marginal unused lands when they could grow crops for their own use. Harshly repressive laws were passed against them. [Dobb, 1946]

6. Other Factors: Among other factors, the intellectual awakening of the 16th century popularly known as the "Renaissance" in history, (help the transition process) fostered scientific progress that was promptly put to practical use in navigation. The invention of telescope and compass helped a lot in discovering sea-routes to India, Africa and the Americas. This resulted in a rapid and large flow of precious metals into Europe, and ushered in a period of colonization. In colonized territories capitalist penetration involved-

1. Expression of monetary economy,
2. Export of products to colonies,

3. Export of capital from colonies to industrial capitalism. [R. Hilton, 1981]

7. Conclusion: Our present discussion has tried to show that, although medieval Europe was predominantly agricultural, an increase in agricultural productivity set forth a series of social changes lasting over centuries that led to the dissolution of feudal and the ultimate emergence of capitalism in Western Europe. The transition process we have discussed here in the context of Western Europe is widely used as a model case for comparison of such transition in other regions, but however, should not be acceptable as a truism, because-

“The history of political economy cannot
be the same for all countries and all
historical epochs”

-Karl Marx

(Communist Manifesto, 1848)